Asset Management Challenge 2026

General guidelines

Financial Modeling, USI Lugano. The guidelines of each round, also on iCorsi, give the constraints and the deadlines of the round.

In this challenge, we evaluate your ability as an asset manager. Your success is measured on three dimensions:

1. The performance of your investment portfolio.
2. The quality of the analysis that supports your investment strategy.
3. The effectiveness of your in-class presentations.

The three parts have equal weight. For the students who take part in the challenge, it counts for 60% of the final grade of the course.

1. The structure of the challenge

The challenge is played in groups, and it consists of three rounds.

- **Round 1: the Strategic Asset Allocation.** Each team chooses its own long-run allocation across asset classes, subject to a volatility target. There is no common benchmark.
- **Round 2: a tactical deviation with discretionary equity investing.** The team deviates from its Strategic Asset Allocation with individual stocks, within a tracking-error budget.
- **Round 3: a tactical deviation with quantitative and macro investing.** The team adds a quantitative strategy and a macro strategy, within a tracking-error budget.

The Strategic Asset Allocation of the first round does not change during the challenge. It is the reference against which the deviations of the second and third rounds are measured.

The challenge starts with the first round, in the week of 20 October 2026, and ends on 27 December 2026. The portfolio is changed once per round, and it remains unchanged between the rounds.

2. The portfolio and its performance

- Every team is allocated **USD 100 million** at the beginning of the challenge.
- The portfolio is **long-only** in all rounds. The universe includes global equities and Exchange Traded Products (ETPs), such as ETFs. The guidelines of each round state which instruments are admitted in the round: the first round admits only ETFs that track broad asset classes; from the second round, stocks and inverse or leveraged ETFs are also admitted.
- There is no limit on the number of positions, but we suggest keeping it low.
- Cash positions do not earn any interest.
- The portfolio is created in Bloomberg with the function `PRTU`, and it is monitored with the function `PORT`. The guidelines of the first round explain how to create it and how to share it with us.
- The performance of the portfolio is measured by the **Sharpe Ratio**, computed on the returns realized from the start of the first round to the end of the challenge. The risk-free rate is the 1-month US Treasury bill rate. The teams are ranked by their Sharpe Ratio.

- A third of the grade of the challenge depends on this ranking. The grade is linearly spaced between 6 and 10: the team with the highest Sharpe Ratio receives a 10, and the team with the lowest receives a 6.
- The portfolio in Bloomberg must correspond to the portfolio announced in the report. All teams are encouraged to verify that the trades of the other teams conform to what they announced. A team that does not follow its announced strategy is penalized; the penalty can be as severe as the last position in the ranking.

3. The analysis

- The investment strategy must be supported by a qualitative and quantitative analysis, based on your views of the market and on the concepts of the course.
- Each round has constraints on risk: a volatility target in the first round, and a tracking-error budget in the second and third rounds. You must show in the analysis that the portfolio respects them.
- Before each round, the analysis is developed in a short **technical report**, with the code (Python, Excel, or Bloomberg) and the data.
- The report must contain the complete list of the trades: for each trade, the date, the name and the identifier of the security, the quantity, and the currency.
- The report must also contain the **checkpoint assignments** given in class. The guidelines of each round list them. They are graded as complete or incomplete.
- The evaluation of the reports is the second part of the grade of the challenge, on the usual scale from 1 to 10.

4. The presentations

- In each round, the team makes a short presentation to the class. It discusses the past performance of the fund and announces in detail the investment strategy for the next period.
- The presentation starts with a market outlook that is consistent with the securities, the sectors, and the geographical areas of the portfolio, and it continues with the description of the strategy.
- The presentation is also a pitch of your ideas to the other teams, who are your potential investors. You can pitch your ideas in any way that you consider effective (see, for example, `https://www.youtube.com/watch?v=QK8K9JkMBL0`).
- Choose a name and a logo for your fund.
- Create a website for your fund, with Google Sites. Upload to it the reports and the presentations, and give regular updates on the performance. Before the first round, send the link to the website and the logo by e-mail to the teaching assistant: the date is in the guidelines of the first round. We collect the websites of all teams on `https://sites.google.com/view/assetmanagementchallenge2026/home`.
- All students are expected to take an active part in the presentations of the other teams and to perform due diligence, that is, to challenge their ideas and their investment concepts.
- The evaluation of the presentations is the third part of the grade of the challenge, on the usual scale from 1 to 10.